

Quarterly Management Brief

Coastal Ridge Renewable Operations - Q3 2026

1. Executive Overview

Coastal Ridge Renewable Operations delivered a solid Q3 2026 despite an unplanned mechanical outage late in the quarter. Fleet-wide availability averaged 97.1% across the quarter, against a target of 97.5%, with the shortfall concentrated in the final two weeks following the Turbine T-19 gearbox issue detailed below. Total energy delivered for the quarter was 54,600 MWh, 2.1% below forecast.

2. Financial Performance

Revenue for Q3 was \$6.83M against a forecast of \$6.95M, a 1.7% shortfall driven primarily by lost generation during the T-19 outage and the associated emergency maintenance spend. Operating expenses were \$2.41M, \$0.09M over budget due to the approved emergency capital expenditure for the gearbox replacement. Despite the shortfall, Q3 EBITDA margin held at 58.3%, within one point of target.

3. Operational KPIs

KPI	Q3 Actual	Q3 Target	Q2 Actual
Fleet Availability	97.1%	97.5%	98.4%
Energy Delivered (MWh)	54,600	55,780	56,120
Unplanned Downtime (hrs)	412	<300	180
Safety Near-Misses Reported	6	n/a (leading indicator)	3
Lost-Time Injuries	0	0	0

The rise in reported near-misses quarter-over-quarter (from 3 to 6) is viewed internally as a positive indicator of reporting culture rather than a deterioration in safety performance, particularly following the anchor-point near-miss discussed below - the site's philosophy is that under-reporting near-misses is the real risk, not the count itself.

4. Key Risks

4.1 Turbine T-19 Gearbox Failure - Financial Exposure

Turbine T-19 was taken offline on September 11, 2026 after condition monitoring detected sustained abnormal gearbox vibration, later confirmed by borescope inspection to be early-stage gear tooth pitting. The Q3 Operations Review approved an \$85,000 gearbox replacement and expedited air-freight shipping at an additional \$22,000, reducing the OEM's quoted lead time from 14 weeks to approximately 4 weeks. Re-commissioning is targeted for mid-October.

Estimated financial exposure: at current power purchase agreement rates, each week T-19 remains offline costs approximately \$15,000 in lost generation revenue. Had the standard (non-expedited) shipping timeline been used, total exposure would have exceeded \$210,000; the expedite decision is

projected to hold total exposure to approximately \$60,000 inclusive of the air-freight premium.

4.2 Spare-Parts Vendor Lead Time

The T-19 event exposed a structural risk in the site's spare-parts supply chain: the primary gearbox OEM's standard lead time of 14 weeks is not compatible with the financial impact of an extended single-turbine outage. Procurement is negotiating guaranteed expedite terms into the vendor contract renewal due in November.

4.3 Fall-Protection Anchor Points

A near-miss at Turbine T-22 on September 9, 2026, involving a loose internal fall-arrest anchor bolt, prompted an immediate site-wide policy change requiring a physical torque-check of anchor points before every climb (previously a visual check only), plus a full re-certification audit of all 36 turbines. No injury occurred, but this is flagged as a risk item pending confirmation that the audit, due September 25, 2026, is completed on schedule.

5. Q3 Achievements

- Completed the annual blade inspection program across the full 36-turbine fleet two weeks ahead of schedule.
- Zero lost-time injuries for the fifth consecutive quarter.
- Onboarded two new electrical maintenance technicians, expanding in-house capacity ahead of Q4 planned works.
- Resolved the T-19 gearbox issue detection-to-decision cycle in under one week, from first alarm to approved capital expenditure.

6. Strategic Priorities for Q4

- Complete T-19 gearbox replacement and re-commissioning, targeting mid-October, and recover full fleet availability.
- Close out the anchor-point re-certification audit and embed the revised torque-check procedure into standard onboarding.
- Finalise the spare-parts vendor contract renewal with guaranteed expedite terms.
- Present the Q4 budget proposal, incorporating the T-19 emergency spend against the maintenance contingency line.

7. Decision Required from Management

CRITICAL - While the immediate T-19 expedite decision has already been approved and actioned (see Section 4.1), management sign-off is still required on a related, longer-term item: Procurement has proposed pre-purchasing one spare gearbox unit to hold in site inventory, at a cost of \$78,000, specifically to eliminate this class of lead-time exposure for any future gearbox failure across the fleet. Without this decision, the site remains exposed to the same 14-week standard lead time on any future occurrence. A decision is requested from the VP Operations by October 1, 2026 so the order can be placed within the OEM's current production run.

8. Budget Reallocation Summary

Line Item	Q3 Budget	Q3 Actual	Variance
Routine Maintenance	\$1.20M	\$1.15M	-\$0.05M
Emergency Maintenance (T-19)	\$0.00M	\$0.107M	+\$0.107M
Safety & Compliance	\$0.18M	\$0.21M	+\$0.03M
Training & Staffing	\$0.25M	\$0.24M	-\$0.01M

9. Closing Remarks

Q3 demonstrated the site's ability to detect and respond to a significant mechanical risk quickly, moving from first alarm to a funded, expedited resolution in under a week. The parallel safety process improvement following the T-22 near-miss shows the same discipline applied to leading safety indicators. Management's attention is requested on the Section 7 spare-inventory decision to reduce the site's exposure to a repeat of the T-19 scenario in future quarters.

Prepared by: M. Chen, VP Operations. Distribution: Executive Committee, Site Operations, Finance.